In early 2015, the stock sells off hard on earnings slowing down because of a slowdown in oil and gas sales. GFN leases containers to oil and gas customers. But really, has the earnings power of GFN been compromised in any way? Is the long-term thesis here cancelled out because of a slowdown?

The answer is no.

They still have their containers, which they can lease elsewhere. GFN has a fleet of about 37,000 storage containers. Its customer list is diverse. GFN serves over 30,000 customers across 20 industries. These assets didn't go anywhere.

They still generate tons of cash. There are still a lot of mom-and-pop operations out there they can continue to roll up. As Valenta put it in an interview with me,

> We probably spend as much time or more time on a company once we acquire it. We have great product breadth, so we can make improvements there. We look at billing systems. Are they billing monthly or every 28 days? Do they have damage waivers?
>
> How are they handling trucking? So we analyze the business and what can we do with it. … We're not just an acquirer. What we're really good at it is taking things and improving on them dramatically. We're a very disciplined buyer. *But more importantly, we're a value creator in what we do with the asset*. (emphasis added)

That hasn't changed. All that's changed is a temporary dip in earnings because of a cyclical change in fortunes in its customer base. There is no new competitive threat. There was no management change. There is no new regulation or other factor that might change this business in any significant way.

This is the kind of thinking I do. As you can tell, you can only do this if you know the business well. Spend less time reading economic forecasters and stock market prognosticators, and spend more time on understanding what you own. If you're not willing to do it, then you're not going to net a 100-bagger or anything close to it.

#3 Lower Multiples Preferred